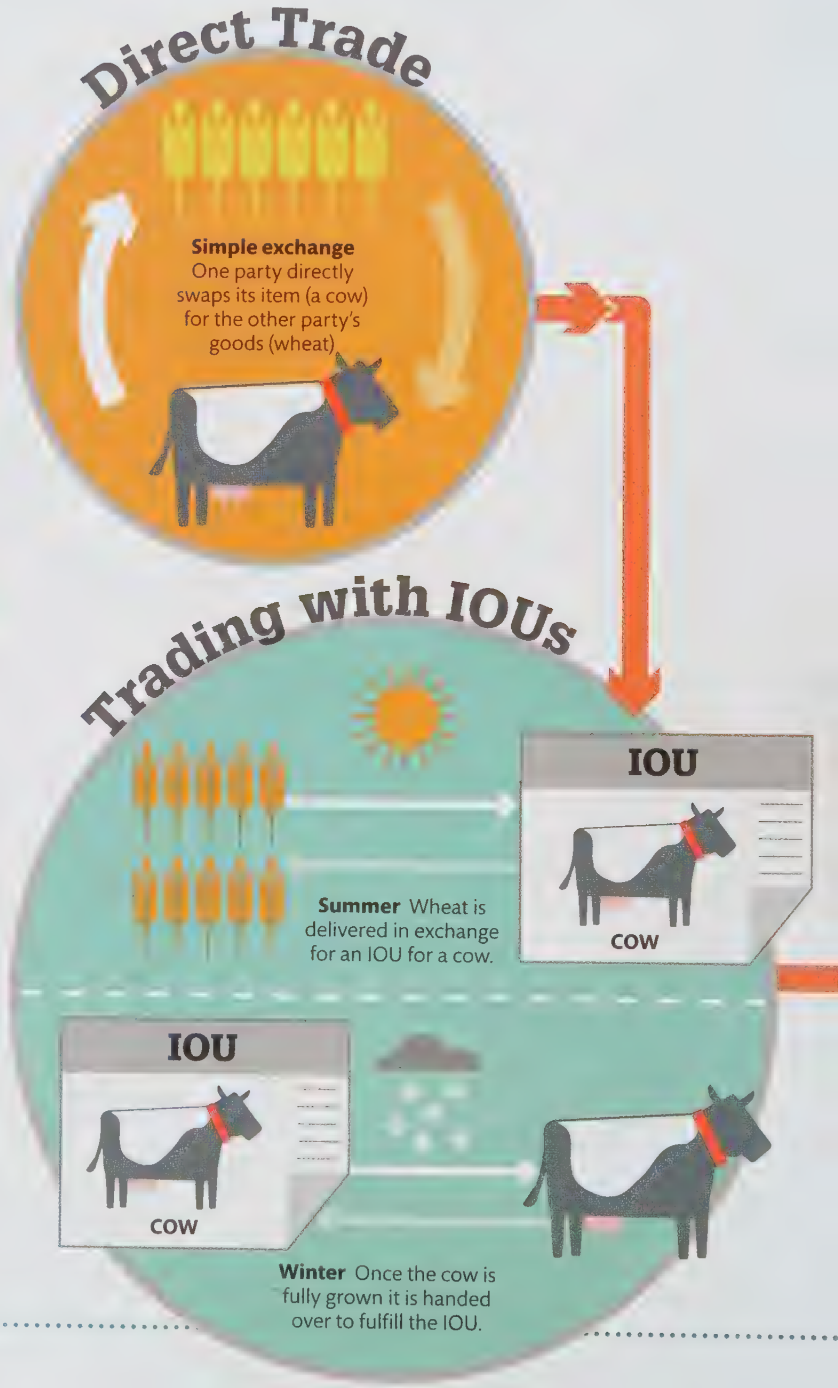
# Barter, IOUs, and money

Barter—the direct exchange of goods—formed the basis of trade for thousands of years. Adam Smith, 18th-century author of *The Wealth of Nations*, was one of the first to identify it as a precursor to money.

## Barter in practice

Essentially, barter involves the exchange of an item (such as a cow) for one or more of a perceived equal "value" (for example a load of wheat). For the most part the two parties bring the goods with them and hand them over at the time of a transaction. Sometimes, one of the parties will accept an "I owe you," or IOU, or even a token, that it is agreed can be exchanged for the same goods or something else at a later date.




### PROS AND CONS OF BARTER

*Pros*

- **Trading relationships** Fosters strong links between partners.
- **Physical goods are exchanged** Barter does not rely on trust that money will retain its value.

*Cons*

- **Market needed** Both parties must want what the other offers.
- **Hard to establish a set value on items** Two goats may have a certain value to one party one day, but less a week later.
- **Goods may not be easily divisible** For example, a living animal cannot be divided.
- **Large-scale transactions can be difficult** Transporting one goat is easy, moving 1,000 is not.